preparations were started for this and everything was worked out in co-operation with a famous American firm of automobile manufacturers. A number of assembly plants bad already been functioning in India. It was now proposed to manufacture all the parts in India with Indian capital and management and Indian personnel. By arrangement with the American corporation their patents could be used and their skilled and technical supervision was available for the initial period. The provincial government of Bombay, which was then functioning under a Congress ministry, promised assistance in various ways. The planning committee was especially interested in this project. Everything in fact had been fixed up and all that remained was to import the machinery. The Secretary of State for India however did not approve and gave his fiat against the importation of the machinery. According to him 'any attempt to set up this industry now would divert both labour and machinery which are more urgently needed for the war.' This was in the early months of the war, during the so-called phoney period. It was pointed out that plenty of labour, even skilled labour, was available and in fact was idle. War necessity was also a curious argument, for that hecessity itself